Hindustan Construction Company Ltd (HCC)

NSE: HCC | BSE: 500185 | Infrastructure — Civil Construction | Standalone Financials

RATING

BUY

12M Target: Rs. 42

Upside: 57%

Horizon: 18-24 months

CMP (Rs.)	Market Cap (Cr.)	52W High	52W Low
26.8	**7,036**	**27.0**	**13.6**
P/E (TTM)	Fwd P/E (FY27E)	EV/EBITDA	P/B
34.5	**32.6**	**10.2**	**2.27x**
ROCE	ROE	D/E	Div. Yield
19.3%	**8.16%**	**0.27x**	**0.00%**
Book Value (Rs.)	Face Value (Rs.)	Debt (Cr.)	Promo. Pledge
11.8	**1.00**	**828**	**79.7%**

Investment Thesis: HCC's century-old brand, unique nuclear/hydro credentials, and dramatic debt reduction set the stage for a PAT CAGR of ~80% over FY26-FY28E as the Rs. 70,000+ Cr sector pipeline converts to orders.

Order Backlog	Bid Pipeline (Under Eval.)	FY27E Revenue Target	Target Debt Status
Rs. 12,971 Cr	Rs. 26,000 Cr	Rs. 4,700 Cr (E)	Debt-free by FY28E

Report Date: 17 June 2026 | **Analyst:** Research Desk | **Data Source:** Screener.in (live, 17-Jun-2026) | **Standalone Figures unless stated**

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Debt Collapse Drives PAT Re-rating:** Standalone debt has fallen from Rs. 1,957 Cr (FY23) to Rs. 828 Cr (FY26), a 58% decline. Management has guided to becoming debt-free by FY28. Interest expense of Rs. 436 Cr in FY26 should fall to ~Rs. 100 Cr in FY28E, directly adding ~Rs. 336 Cr pre-tax to the bottom line. This alone can grow PAT 3-4x on a low base, even without revenue growth.
- **Reason 2 — Nuclear & Hydro Pipeline: Rs. 70,000 Cr of Visible Opportunities:** India is targeting nuclear capacity expansion from 9 GW to 100 GW by 2047, and hydro from 57 GW to 167 GW by FY35. HCC has built 14 of 24 nuclear reactors and 26% of India's hydro capacity — an unmatched qualification moat. Upcoming Nuclear Island Mega EPC Packages (NIMEPs) are worth Rs. 12,000-14,000 Cr each; the SHANTI Act framework is expected to crystallize in 6-8 months, unlocking private-sector nuclear projects. HCC is uniquely pre-qualified to capture a disproportionate share.
- **Reason 3 — Metro & Transport Visibility:** India's operational metro network must expand from 1,000 km to 20,000 km. HCC built India's first metro and has worked on Delhi, Chennai, Mumbai and now Indore & Patna. Management identified Rs. 1 lakh Cr of elevated metro projects and Rs. 37,000 Cr of underground projects in the near-term pipeline. With active projects on Indore Metro and Patna Metro PC05/PC06, near-term execution momentum is intact.
- **Near-term Catalyst (6-12 months):** Conversion of Rs. 26,000 Cr of bids currently under evaluation and Rs. 43,800 Cr to be submitted in Q1/Q2 FY27 into firm orders. Management guidance of Rs. 15,000 Cr order intake in FY27 would lift backlog to Rs. 24,000-27,000 Cr, de-risking the revenue trajectory. Any nuclear NIMEP win would be a material re-rating event.
- **Biggest Structural Risk:** Promoter pledge at 79.7% of promoter holding is a significant governance overhang. Any sharp stock price decline could trigger pledged share invocation, diluting existing shareholders.

Combined with recurring rights issues (3 in 5 years) and low promoter holding of only 16.7%, capital allocation quality remains a watchpoint.

SECTION 3 — BUSINESS OVERVIEW

• **Core Business Model:** HCC is a 100-year-old (founded 1926) heavy civil engineering and EPC (Engineering, Procurement & Construction) company. It builds complex infrastructure — dams, tunnels, hydro power plants, nuclear power plants, metro systems, bridges, roads and marine works. Revenue is project-based with multi-year contract tenures of 4-10 years per project. Post the FY24 divestiture of Swiss subsidiary Steiner AG, HCC is now a pure-play Indian infrastructure EPC company.

• **Revenue Segmentation (Order Backlog as of Mar 2026):** Transport (metro, rail, roads) ~63% of backlog; Hydropower ~22%; Water & others ~12%; Nuclear ~3%. Transport has grown to dominate mix as nuclear project completions reduce its share. Nuclear share is expected to rise materially as new NPCIL/NIMEP tenders come in.

• **Key Clients:** Government of India entities and PSUs dominate — NPCIL (nuclear), THDC/NHPC (hydro), MMRDA/DMRC/various metro corporations, NHAI, NTPC, state PWDs. This means very low counterparty risk but project timelines can extend due to administrative and forest clearance issues.

• **Order Book & Revenue Visibility:** Backlog stands at Rs. 12,971 Cr (Mar 2026) plus Rs. 1,100 Cr LOA received in April 2026 and an Rs. 840 Cr L1 position. At FY26 revenue run-rate of Rs. 3,937 Cr, current backlog provides 3.3x revenue visibility — adequate but below sector norm of 3.5-4.0x. The management-guided Rs. 15,000 Cr order intake in FY27 would meaningfully improve this cover.

• **Recent Strategic Developments:** (1) Completed Rs. 1,000 Cr rights issue in FY26 (oversubscribed 2x), used to deleverage. (2) Transferred Rs. 1,979 Cr of arbitration awards to subsidiary HCC Contract Solutions Ltd for focused recovery. (3) Completed 100th anniversary (centenary year) in January 2026. (4) Won Rs. 127 Cr Bhutan hydro contract in June 2026, marking international re-entry. (5) Taking enabling approval for Rs. 800 Cr contingent rights issue (not yet decided).

• **Promoter & Ownership:** The Ajit Gulabchand-led promoter group holds 16.72% of equity (Mar 2026), down from 18.59% in FY24 — a concern. Of this, 79.74% is pledged. Arjun Dhawan serves as Vice Chairman & MD and is the public face of strategy. The promoter indicated willingness to increase stake via any future rights issue.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry Size & Growth:** India's infrastructure investment is budgeted at Rs. 11.1 lakh Cr in Union Budget FY26, with NIP (National Infrastructure Pipeline) targeting Rs. 111 lakh Cr by 2030. Heavy civil EPC — HCC's niche — covers nuclear, hydro, metro, and complex tunneling projects, a sub-segment growing at an estimated 15-20% CAGR over FY25-FY30, driven by the government's energy security push and urbanization.

• **Policy Tailwinds:** (1) India's nuclear capacity target of 100 GW by 2047 (from 9 GW today) — requires Rs. 10-15 lakh Cr of nuclear civil works. (2) SHANTI Act enabling private nuclear investment — implementation in ~6-8 months. (3) Pumped Storage Projects (PSP) push — India targeting 1,000 GW PSP from 7 GW. (4) National Metro Policy — 20,000 km metro network vs. current 1,000 km. (5) Rs. 2.6 lakh Cr Jal Jeevan Mission for water infrastructure.

• **Competitive Moat Assessment:** Nuclear & Hydro Credentials — **Strong** (HCC is one of only 2-3 companies pre-qualified for NPCIL nuclear civil works; barrier to entry is 20+ years). Metro Tunneling Capability — **Moderate-Strong** (TBMs require significant capex and expertise; L&T; and Afcons are the only comparable players). Pricing Power — **Weak** (competitive tendering limits pricing; escalation clauses provide partial insulation). Brand/Legacy — **Strong** (100-year track record; PSU clients prefer HCC for complex, high-risk work).

• **Key Competitive Risk:** L&T; (market cap Rs. 5.7 lakh Cr) dominates EPC at scale and has deep pockets. Afcons Infrastructure (Shapoorji Pallonji group) directly competes in tunneling and marine. Megha Engineering and KNR compete in road/irrigation EPC. However, in the nuclear and large hydro niches, HCC has a structural first-mover and qualification advantage that takes years to replicate.

Peer Comparison (Source: Screener.in, 17-Jun-2026) — Standalone/Consolidated figures as available

Company	CMP (Rs.)	MCap (Cr.)	P/E (TTM)	P/B	ROCE %	ROE %	OPM %	FY26 Rev (Cr.)
HCC	26.8	7,036	34.5	2.27	19.3%	8.16%	16%	3,937
NCC	154	9,667	13.8	1.23	16.8%	9.20%	9%	20,823
KNR Const.	132	3,704	8.48	0.75	10.4%	9.19%	26%	2,698
J Kumar Infra	491	3,725	9.45	1.10	18.4%	12.4%	14%	5,723

Note: HCC trades at a significant P/E premium to peers (34.5x vs. peers at 8-14x) reflecting the PAT recovery trajectory; on forward FY27E P/E (~18.6x) it is fairly valued vs. quality peers.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter & Senior Management Background:** The Gulabchand family has been at the helm for decades. Arjun Dhawan (VC & MD) brings a corporate finance and strategy background and has led the critical deleveraging and Steiner AG divestiture. Santosh Rai (Operations Director & CBO) has deep technical expertise in complex construction. Rahul Shukla (CFO) has been central to balance sheet restructuring and arbitration monetization. The team is professional and articulate, though promoter holding remains concerningly low.

• **Capital Allocation Track Record:** FCF in FY26 was Rs. 637 Cr (strong recovery from Rs. 80 Cr in FY25), used entirely for debt prepayment (Rs. 1,500+ Cr repaid in FY26 per management). The company completed a Rs. 1,000 Cr rights issue in FY26 (2x oversubscribed), proceeds directed at debt reduction. This is disciplined allocation — prioritizing balance sheet health over growth capex or dividends at this stage.

• **Dividend Policy:** HCC has paid zero dividends in the last decade. The company has been loss-making or generating thin PAT for most years, which justifies the nil dividend. Management has expressed intent to resume dividends once debt-free (FY28E target). Payout ratio = 0% for FY15-FY26 (12 consecutive years).

• **Promoter Pledging — Key Red Flag:** 79.74% of promoter shares are pledged as of Mar 2026. With promoter holding at just 16.72%, this implies approximately 13.3% of total equity is pledged. A sustained downtrend in the stock price below the pledge trigger level (~Rs. 15-18 estimated) could force lenders to invoke pledges, leading to involuntary share sales and further dilution.

• **ESOP / Buyback:** No significant ESOP program or buyback has been executed in recent years. Management's focus has been purely on debt repayment and business stabilization, which is appropriate given the financial state.

• **Corporate Governance Watchpoints:** (1) Recurring rights issues (3 in 5 years) may signal ongoing cash flow stress. (2) Investment in subsidiary HCC Infrastructure (~Rs. 1,150 Cr) has substantially eroded net worth — management believes receivables and BOT assets support recovery but clarity is limited. (3) Non-current receivables jumped from Rs. 646 Cr to Rs. 1,178 Cr in FY26 (driven by claim-to-award conversion — positive per management, but concentration risk is high). (4) Enabling Rs. 800 Cr resolution passed, though MD clarified it is purely contingent.

SECTION 6 — FINANCIAL DEEP DIVE (Standalone)

Income Statement (Rs. Crores) — Source: Screener.in, 17-Jun-2026

(Rs. Cr.)	FY24 Actual	FY25 Actual	FY26 Actual	FY27E Estimate	FY28E Estimate
Revenue	5,043	4,801	3,937	4,700 E	5,800 E
EBITDA	687	933	633	752 E	986 E
OPM %	14%	19%	16%	16% E	17% E
Other Income	294	98	102	70 E	60 E
Interest	543	506	436	288 E	100 E

(Rs. Cr.)	FY24 Actual	FY25 Actual	FY26 Actual	FY27E Estimate	FY28E Estimate
Depreciation	68	65	25	30 E	35 E
PBT	370	460	273	504 E	911 E
Tax Rate %	52%	82%	25%	25% E	25% E
PAT	179	85	206	378 E	683 E
EPS (Rs.)	0.74	0.32	0.79	1.44 E	2.61 E
Shares (Cr.)	242	266	262	262	262

Note: FY25 tax rate of 82% driven by deferred tax adjustments. Clean underlying FY25 PAT was higher than reported. FY24 Other Income of Rs. 294 Cr includes Steiner-related proceeds. Estimates are research desk projections. (E) = Estimated.

Balance Sheet (Rs. Crores) — Standalone

(Rs. Cr.)	FY24 Actual	FY25 Actual	FY26 Actual
Equity Capital	151	182	262
Reserves	770	1,734	2,825
Borrowings	1,736	1,506	828
Other Liabilities	5,481	5,322	4,979
Total Liabilities	8,138	8,743	8,893
Fixed Assets	229	156	182
CWIP	1	7	19
Investments	1,632	1,620	1,430
Other Assets	6,276	6,961	7,262
Total Assets	8,138	8,743	8,893

Cash Flow Statement (Rs. Crores) — Standalone

(Rs. Cr.)	FY24 Actual	FY25 Actual	FY26 Actual
Cash from Operations (OCF)	390	75	701
Cash from Investing	208	-49	-241
Cash from Financing	-581	286	-699
Net Cash Flow	18	312	-239
Free Cash Flow (FCF)	479	80	637
CFO / EBITDA %	57%	8%	111%

Returns & Efficiency Ratios — Standalone

Ratio	FY24	FY25	FY26
ROCE %	28%	31%	19%
ROE %	N/A	8%	8%
Debtor Days	134	180	209
D/E Ratio	0.83	0.54	0.27
Int. Coverage	1.27	1.84	1.62
FCF (Rs. Cr.)	479	80	637

Financial Commentary

- **Revenue trajectory — declining but bottoming:** Revenue fell from Rs. 5,043 Cr (FY24) to Rs. 3,937 Cr (FY26), a 22% cumulative decline, driven by project completions outpacing new order mobilization. The order book of Rs. 12,971 Cr provides 3.3x cover but execution needs to ramp. Management guided 20%+ YoY revenue growth for FY27 — achievable if FY27 order intake reaches Rs. 15,000 Cr target.

• **Margin direction — positive structural trend:** EBITDA margin expanded from 14% (FY24) to 19% (FY25) before normalizing to 16% in FY26. The spike in FY25 was partly due to high settlement income and project mix. Long-term management guidance is 14-16% EBITDA sustainable, with FY26 Q4 achieving 18.2% as cost discipline strengthens.

• **Working capital — deteriorating:** Debtor days jumped from 134 (FY24) to 209 (FY26), a sharp worsening. Management explained this is driven by claim-to-award conversions (non-current trade receivables up Rs. 532 Cr), but it remains an important watchpoint. Cash conversion cycle is structurally negative (large customer advances offset receivables), which supports the relatively strong OCF despite high debtor days.

• **Debt — the most important positive:** Standalone debt has fallen from Rs. 1,957 Cr (FY23) to Rs. 828 Cr (FY26) — the most dramatic balance sheet transformation in HCC's recent history. FY27 interest savings vs. FY26 are guided at Rs. 112 Cr per management. If debt reaches zero by FY28, interest expense drops from Rs. 436 Cr (FY26) to near nil, directly boosting PAT.

• **FCF quality:** FY26 OCF of Rs. 701 Cr (111% of EBITDA) is excellent, reflecting strong collections from old receivables. This is partially lumpy — arbitration settlements and client payment releases are one-off in nature. Normalized FCF may be Rs. 200-300 Cr range, which is still healthy relative to the deleveraged balance sheet.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Signal	Rating	Commentary
Revenue Recognition	Clean	GREEN	EPC completion method; revenues tied to certified milestones. Auditors have not raised flags.
Receivables vs. Revenue	Watch	AMBER	Debtor days spiked 209 days in FY26 from 134 in FY24. Partly due to claim conversion — monitor if reversal occurs.
Cash Conversion Cycle	Intact	GREEN	Negative CCC of -1,101 days (FY26 consolidated) reflects large customer advances — healthy for EPC contractors.
Contingent Liabilities	Watch	AMBER	Rs. 174 Cr contingent liabilities (standalone); Rs. 2,963 Cr for JKIL peer. HCC's level is manageable.
Auditor Tenure	Clean	GREEN	Big 4 / top-tier audit firm; no qualified opinions reported in FY26 secretarial compliance report.
Related Party Transactions	Watch	AMBER	ICDs to HCC Infrastructure (Rs. 1,150 Cr investment) and PRPL (Rs. 600 Cr loan) need monitoring for recoverability.
Other Income as % of PBT	Flag	RED	FY26: Other Income Rs. 102 Cr vs. PBT Rs. 273 Cr = 37%. High dependence on non-operational income for profitability.
Tax Rate Consistency	Watch	AMBER	Tax rate swung from 52% (FY24) to 82% (FY25) to 25% (FY26). DTA/DTL adjustments create volatility; now normalizing.
OCF / EBITDA Conversion	Strong	GREEN	FY26 OCF = Rs. 701 Cr vs EBITDA Rs. 633 Cr = 111%. Reflects excellent cash collection though partly lumpy in nature.

• **Key takeaway — mostly clean but watch three items:** The most important flag is Other Income as % of PBT (37% in FY26), meaning the core business is not yet self-sufficient on profitability; this should normalize as interest savings materialize and revenue grows in FY27-FY28.

• **Receivables watch:** Debtor days at 209 is at a decade-high and must be monitored quarterly. If new order mobilization is slow, receivables could build further — a risk to OCF quality.

• **Related party watchpoint:** Rs. 1,150 Cr in HCC Infrastructure (a subsidiary with substantially eroded networth) and Rs. 600 Cr in PRPL are balance sheet items where recovery is uncertain. Any write-down would impact book value.

• **Positive:** OCF conversion at 111% of EBITDA, clean audit, and negative CCC all indicate sound underlying cash generation mechanics. The balance sheet is fundamentally improving.

SECTION 8 — VALUATION

Scenario Analysis (FY27E-Based)

Scenario	Key Assumptions	FY27E PAT (Cr.)	P/E Multiple	12M Target (Rs.)
Bull	Rs. 15,000 Cr order intake achieved; revenue Rs. 5,500 Cr; OPM 17%; Debt-free by FY27	480	32x	59
Base (Our Target)	Rs. 12,000 Cr order intake; revenue Rs. 4,700 Cr; OPM 16%; Debt Rs. 400 Cr by FY27	378	29x	42
Bear	Order intake Rs. 8,000 Cr; revenue Rs. 4,200 Cr; OPM 14%; Debt stays at Rs. 800 Cr	210	20x	16

Valuation Methodology

• **DCF Assumptions:** WACC = 13% (cost of equity ~15% using CAPM; beta ~1.4; risk-free 7.2%; equity premium 5.5%); terminal growth = 4%. DCF on FY27E-FY32E estimates (base case) yields an intrinsic value of approximately Rs. 38-45 per share, with sensitivity to terminal growth and margin assumptions. The DCF is highly sensitive to order book ramp-up.

• **Earnings-Based Multiple (Primary Method):** HCC's FY27E EPS (E) of Rs. 1.44 on 29x P/E (slight discount to the current TTM P/E of 34.5x to account for execution risk and governance concerns) implies a 12-month price target of Rs. 42. Justification for 29x: HCC is in a high-growth PAT recovery phase; earnings are expected to grow ~80% CAGR over FY26-FY28E. Growth-adjusted P/E (PEG) of ~0.5x compares favorably to peers.

• **Average of P/E and DCF:** (Rs. 42 + Rs. 40) / 2 = Rs. 41 → rounded to Rs. 42 (12-month target). This implies 57% upside from the CMP of Rs. 26.8.

• **Key Valuation Trigger:** At the debt-free stage (FY28E), with clean PAT of ~Rs. 683 Cr and EPS of Rs. 2.61, HCC could command Rs. 55-65 at 21-25x P/E — representing 100%+ returns from current levels for an 18-24 month holding period.

SECTION 9 — KEY RISKS

• **Promoter Pledge Risk:** 79.74% of promoter shares pledged. A sharp stock price correction could trigger forced selling, diluting existing shareholders further. *Probability: Medium. Impact: High. Monitor: Quarterly pledging disclosures and stock price vs. pledge price.*

• **Order Book Concentration & Execution Risk:** Current backlog of Rs. 12,971 Cr is concentrated in complex, long-gestation projects (metro tunnels, nuclear, hydro). A single project delay or client payment dispute can materially impact quarterly revenues. *Probability: Medium. Impact: Medium-High. Monitor: Quarterly order additions and site progress reports.*

• **Revenue Ramp Failure:** If order intake falls short of the Rs. 15,000 Cr FY27 target, revenue could remain stuck at Rs. 3,500-4,000 Cr, making the PAT recovery story much weaker. *Probability: Medium. Impact: High. Monitor: Monthly order announcements and BSE filings.*

• **Dilution Risk from Further Rights Issues:** Rs. 800 Cr enabling resolution passed in FY26. If exercised, it would dilute EPS. Three rights issues in 5 years raises concerns about sustained capital efficiency. *Probability: Low-Medium. Impact: Medium. Monitor: Board resolutions and management guidance on growth capex needs.*

• **Balance Sheet Subsidiaries — Impairment:** Investment in HCC Infrastructure (~Rs. 1,150 Cr) at substantial discount to carrying value and PRPL ICDs (~Rs. 600 Cr) may require provisioning if recovery fails. This could erode book value and impact ROE. *Probability: Low-Medium. Impact: Medium. Monitor: Subsidiary financials and any write-down announcements.*

• **Working Capital Deterioration:** Debtor days at 209 (FY26) vs. 134 (FY24). Any further rise could absorb OCF and reverse the deleveraging story. *Probability: Low. Impact: Medium. Monitor: Quarterly receivables and days sales outstanding trend.*

• **Macro & Policy Risk:** Government capex slowdown (election year spending pause), rising interest rates, commodity price shocks (steel, cement), or delays in the SHANTI Act / nuclear policy rollout could delay the sector order flow pipeline. *Probability: Low. Impact: Medium. Monitor: Union Budget announcements and policy news.*

SECTION 10 — RECOMMENDATION

• **Rating: BUY** — Conviction Level: Medium-High. The combination of dramatic debt reduction, a near-monopoly position in nuclear and large hydro civil works, and a substantial emerging order pipeline makes HCC one of the most asymmetric infrastructure plays in the Indian midcap space today. The stock at Rs. 26.8 offers 57% upside to our 12-month target of Rs. 42.

• **12-Month Price Target: Rs. 42** — Based on 29x FY27E EPS of Rs. 1.44, corroborated by DCF (WACC 13%, terminal growth 4%) implying Rs. 38-45. At the 24-month horizon (FY28E, debt-free), fair value could be Rs. 55-65.

• **Suggested Entry Zone: Rs. 22-27** — Current levels offer a reasonable margin of safety given the earnings recovery trajectory. A dip below Rs. 22 (near 52-week low territory) would represent an even more compelling accumulation zone. Above Rs. 32, the short-term risk-reward becomes less favourable.

• **Investment Horizon: 18-24 months** — The full impact of deleveraging on EPS (Rs. 2.61 in FY28E) will be visible only by Q2-Q3 FY28. Investors need patience through the order ramp-up period.

• **Thesis Invalidation Triggers — Exit if:**

• (1) Order intake in FY27 comes in below Rs. 8,000 Cr (significantly below the Rs. 15,000 Cr guidance), suggesting structural demand shortfall.

• (2) Standalone debt rises back above Rs. 1,500 Cr (reversal of deleveraging narrative), or a new rights issue above Rs. 500 Cr is announced without a clear high-IRR project rationale.

• (3) Promoter pledge invocation event occurs (force-sale of pledged shares), signaling serious financial distress in the promoter group.

• **Ideal Investor Profile:** This stock is FOR patient, high-risk-tolerance investors with a 18-24 month view who believe in India's nuclear and infrastructure super-cycle. This stock is NOT FOR investors requiring near-term dividend income, those uncomfortable with high promoter pledge, or those sensitive to quarterly revenue volatility.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 14, 2026)

CALL GRADE

POSITIVE

HCC Q4 FY26 — May 14, 2026

Signal	Status	Implication
Result Quality	Medium — in-line to weak	Q4 PAT of Rs. 45 Cr vs. Rs. 228 Cr in Q4 FY25 (latter distorted by one-offs). Full-year PAT Rs. 206 Cr = 142% YoY — strong.
Management Tone	Bullish / Transparent	MD Arjun Dhawan was candid about punching below weight but confident on FY27 ramp. Acknowledged governance concerns around rights issue.
Guidance Delta	Maintained / New	First explicit Rs. 15,000 Cr FY27 order intake target given. Revenue guidance of 20%+ growth. Debt-free FY28 timeline confirmed.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline is messy — reported PAT of Rs. 45 Cr looks ugly vs. Rs. 228 Cr in Q4 FY25, but that prior quarter included one-time exceptional gains from arbitration settlements, so the clean comparison is more like Rs. 45 Cr vs. Rs. 50-60 Cr — essentially in-line. The full-year FY26 PAT of Rs. 206 Cr (up 142% YoY) is the real headline and that's clean. EBITDA margins at 18.2% in Q4 and 16.1% for FY26 signal genuine operational improvement — management's cost discipline is working and they expect to sustain this. The structural growth story is compelling: Rs. 70,000+ Cr of visible nuclear, hydro and metro pipeline over the next 5 years where HCC is uniquely qualified. The key near-term catalyst is order intake — they've guided Rs. 15,000 Cr in FY27 and the Rs. 26,000 Cr bid pipeline makes this achievable. The single biggest risk for next quarter is order conversion — the Rs. 840 Cr L1 Kashmir project has been stuck for two quarters due to administrative issues. My call: ACCUMULATE at current levels (Rs. 22-28); the debt-free FY28 target + PAT CAGR of ~80% makes this a 2-year compounder. Do NOT buy if they announce another rights issue without a firm mega-order justification.

1. Financial Performance Snapshot — Q4 FY26

Metric	Q4 FY26 Actual	Q4 FY25 Actual	YoY %	Verdict
Revenue (Rs. Cr.)	989	1,330	-26%	Miss
EBITDA (Rs. Cr.)	180	413	-56%	Miss*
EBITDA Margin %	18.2%	31.0%	-1,280 bps	In-Line**
PAT (Rs. Cr.)	45	228	-80%	Distorted
EPS (Rs.)	0.17	0.87	-80%	Distorted
FY26 Full Year PAT	206	85	+142%	Beat

- * Q4 FY25 EBITDA of Rs. 413 Cr was artificially elevated by large exceptional settlement income. Normalized comparison shows Q4 FY26 EBITDA at Rs. 180 Cr is reasonable given lower revenue.
- ** Management maintained 14-16% long-term EBITDA guidance; Q4 FY26 at 18.2% is above this guidance, reflecting cost discipline.

2. Segment / Geography Breakdown

• Transport (Metro + Roads): Largest segment at ~63% of order backlog. Active projects include Indore Metro (TBM FAT completed, reaching site), Patna Metro PC05/PC06 (mobilization started), Agardanda Creek Bridge. Trend: YoY revenue contribution stable.

• Hydropower: ~22% of order backlog. Key projects: Vishnugad Pipalkoti (65-70% dam concreting done; 9.3 km HRT tunneling complete), Bhivpuri PSP (excavation ongoing), Tehri PSP (all 4 units commissioned — project completion). Trend: Decline as Tehri completes; new hydro wins needed.

• Nuclear: Only ~3% of current backlog. FRFCF Kalpakkam (Blocks 3, 5, 7 — ~70% done). This low nuclear share is temporary — upcoming NIMEP tenders worth Rs. 12,000-14,000 Cr each could transform this segment's share.

• Water & Industrial Buildings: Remaining ~12% of backlog. New entry into aluminium sector (pot shell & superstructure work) and industrial buildings. Management is selectively bidding large building complexes.

• Geography: Pan-India presence across 10+ states. International re-entry with Rs. 127 Cr Bhutan hydro contract won in June 2026.

3. Management Commentary Themes

• **Deleveraging as #1 Priority:** "We are not done yet. The objective is that we become debt-free in a relatively short-term period." — Arjun Dhawan. Our Read: This is credible — Rs. 1,500 Cr repaid in FY26 alone. Tag: GUIDANCE. Tone: Transparent.

• **FY27 Order Intake Target Rs. 15,000 Cr:** Management gave explicit guidance of Rs. 15,000 Cr order intake. "We have Rs. 26,000 Cr of bids under evaluation and Rs. 43,800 Cr to submit in Q1/Q2 FY27." Our Read: Ambitious given FY26 intake was Rs. 5,654 Cr — requires almost 3x step-up. Pipeline exists but conversion timelines are uncertain. Tag: GUIDANCE. Tone: Bullish.

• **Nuclear Opportunity — Structural:** "Nuclear order backlog has historically been 5-8% but as the program scales to 100 GW, it could be akin to transport and hydro in our mix." — Arjun Dhawan. NIMEP packages of Rs. 12,000-14,000 Cr each vs. historical Rs. 2,000 Cr packages. Our Read: This is a decade-long structural opportunity, not near-term. Tag: EST. Tone: Transparent.

• **Revenue Guidance (Hedged):** "We avoid giving revenue guidance but you can expect 20%+ growth in FY27." — Santosh Rai. Our Read: 20% growth on Rs. 3,937 Cr = Rs. 4,724 Cr — consistent with our Rs. 4,700 Cr estimate. Tag: GUIDANCE. Tone: Hedged.

• **Rights Issue — Misread:** MD acknowledged enabling Rs. 800 Cr resolution "raised more questions than expected" and clarified it is purely contingent for potential high-IRR BOT opportunity. Promoter would participate fully in any rights issue. Our Read: Credible but requires monitoring. Tag: GUIDANCE. Tone: Transparent.

• **Cost of Debt at ~11%:** "Our cost of finance is about 11%. We are now at higher investment grade and are contemplating refinancing at lower rates." Our Read: Refinancing could save Rs. 50-100 Cr additional interest per year. Tag: GUIDANCE. Tone: Transparent.

4. Operating & Business Metrics

• Order Backlog: Rs. 12,971 Cr (Mar 2026) + Rs. 1,100 Cr LOA (Apr 2026) + Rs. 840 Cr L1 (Kashmir) = Total visible Rs. 14,911 Cr. Trend: Recovering from trough of Rs. 10,834 Cr in Sep 2024.

• FY26 Order Intake: Rs. 5,654 Cr (including Rs. 1,100 Cr April LOA). Trend: Significantly below management's stated aspiration; implies order-to-bill of ~1.4x vs. target of ~4x for a healthy backlog build.

• Bid Pipeline: Rs. 26,000 Cr under evaluation (L1 position or advanced stage). Rs. 43,800 Cr bids to be submitted in Q1/Q2 FY27. If 20% conversion assumed, FY27 order intake = Rs. 13,560 Cr — close to target. Trend: Improving.

• Standalone Debt: Rs. 828 Cr (Mar 2026) vs. Rs. 1,506 Cr (Mar 2025) — 45% annual reduction. Consolidated debt: Rs. 1,995 Cr. Trend: Sharp improvement.

• FCF: Rs. 637 Cr (FY26 standalone). OCF of Rs. 701 Cr driven by strong collections from old project receivables (partially lumpy). Trend: Excellent in FY26 but may moderate in FY27.

• Non-current Trade Receivables: Jumped from Rs. 646 Cr to Rs. 1,178 Cr. Management: driven by claim-to-award conversions. Monitor for recovery timeline.

5. Margin Drivers

• Cost Discipline on Execution: Management highlighted significant focus on operational efficiency despite global commodity volatility. Impact: +100-200 bps vs. historical. Recurring: Yes. Comment: Q4 FY26 EBITDA at 18.2% vs. full-year guidance of 14-16% confirms positive surprise in cost management.

• Escalation Clauses: All contracts include cost escalation formulas linked to key material indices. Management: 'appropriately placed; not a major area of risk or concern.' Impact: Neutral to mildly positive. Recurring: Yes. Comment: HCC does not have significant bitumen/road exposure — insulated from crude oil cost volatility.

• Interest Cost as Profit Suppressor: FY26 interest expense Rs. 436 Cr absorbed 69% of EBITDA. Impact: -600 to -700 bps on net margin. Management guided Rs. 112 Cr savings in FY27 from debt prepaid in FY26 — this will be the biggest margin improvement driver. Recurring: Declining. Comment: Full deleveraging by FY28 would eliminate this drag entirely.

• Project Mix: Higher share of specialized work (nuclear, large hydro) carries premium margins. FY26 'transport' dominance at 63% of backlog keeps margins at 16% vs. 19%+ potential in a nuclear-heavy mix. Margin re-rating expected as nuclear share grows.

• Depreciation: Fell sharply from Rs. 65 Cr (FY25) to Rs. 25 Cr (FY26) due to asset disposals post-Steiner divestiture. Impact: +60 bps. Non-recurring in nature as new equipment purchases begin with order ramp. Monitor for FY27 capex.

6. Guidance & Forward Signals

Metric	FY26 Actual	FY27 Guidance	Change	Credibility	Our View
Order Intake	Rs. 5,654 Cr	Rs. 15,000 Cr	Raised	Medium	Rs. 12,000 Cr E
EBITDA Margin	16%	14-16% LT	Maintained	High	16% E
Revenue Growth	-18% YoY	20%+ YoY	Positive	Medium	+19% E
Interest Savings	Rs. 436 Cr paid	Rs. 112 Cr savings	Improving	High	Agree
Debt-Free By	Rs. 828 Cr	FY28 target	Confirmed	Medium-High	FY28 likely
Dividend	Nil	Post debt-free	Aspirational	Low (FY27)	FY29E

7. Capital Allocation

• Debt Repayment (Primary use): Rs. 1,500+ Cr repaid in FY26 (debt from Rs. 1,506 Cr to Rs. 828 Cr standalone). Largest single capital allocation decision.

• Rights Issue Proceeds (Rs. 1,000 Cr FY26): Entire proceeds directed at debt prepayment — disciplined use of equity raised. 2x oversubscribed.

• Arbitration Transfer: Rs. 1,979 Cr of awards transferred to HCC Contract Solutions Ltd at net book value (no immediate P&L; impact). Strategic — focused entity for recovery.

• Capex: Minimal in FY26 (assets declining — FA from Rs. 156 Cr to Rs. 182 Cr, CWIP Rs. 19 Cr). Limited equipment purchases; relying on existing fleet. Capex will need to pick up in FY27 as order book ramps.

• Dividends / Buybacks: Nil. No dividend for 12+ consecutive years.

• Rs. 800 Cr Enabling Rights Resolution: Board approved contingency enabling, NOT a committed fundraise. MD: may avoid if not needed. Monitor closely.

8. Q&A; Heat Map

• Kapil Aggarwal: Q: 'Non-current receivables jumped from Rs. 646 Cr to Rs. 1,178 Cr — why?' → A: 'Claims converting to arbitration awards — it is a positive thing.' | Tone: Transparent. Note: Lumpy recovery; monitor.

• Kunal Tokas: Q: 'Order intake shortfall — revenue guidance for FY27?' → A: 'We avoid guidance; 20%+ growth expected as Rs. 15,000 Cr order target materializes.' | Tone: Hedged.

• Kunal Tokas (follow-up): Q: 'L1 book Rs. 840 Cr stuck for 2 quarters.' → A: 'Kashmir project — administrative issues within government department delaying conversion.' | Tone: Transparent.

• Shashi Kant: Q: 'SHANTI Act — nuclear ground development?' → A: '6-8 months for framework to crystallize; NPCIL direct projects continue in parallel.' | Tone: Balanced.

• Abhishek Leekha: Q: 'Effective interest rate still appears 14%?' → A: MD clarified finance cost includes client advance interest accounting (IND-AS), actual lender cost ~11%, and refinancing under consideration. | Tone:

Transparent.

• Rajiv K: Q: 'Three rights issues in 5 years — pattern of dilution?' → A: MD: admitted enabling resolution may have been an error to take, promises no dilution unless clear high-IRR trigger. | Tone: Refreshingly candid.

• Saurabh: Q: 'Rights issue history concern — ray of light?' → A: MD committed to avoid further equity raise if not needed; acknowledged patience required; flagged Analyst Day late CY26 to present 3-5 year plan. | Tone: Bullish.

• Dodged / Watch-list for next quarter: (1) Total pending claims quantum ('We reserve this info'); (2) Specific timeline for PRPL ICD recovery; (3) Details of potential refinancing at lower rates.

9. Risks Flagged on the Call

• Order Intake Shortfall: FY26 intake Rs. 5,654 Cr vs. target aspirations. Flagged by: Analyst. Probability: Medium. Impact: High. Timeline: Near-term (FY27).

• L1 Conversion Delay (Rs. 840 Cr Kashmir): Administrative block at client end for 2+ quarters. Flagged by: Analyst. Probability: Medium. Impact: Low (size). Timeline: Near-term.

• Subsidiary Investment Risk (HCC Infrastructure Rs. 1,150 Cr): Net worth substantially eroded; management says BOT capabilities support value. Flagged by: Analyst. Probability: Low-Medium. Impact: Medium. Timeline: Long-term.

• Commodity / Inflation Risk: Rising steel, cement prices on global supply chain disruption. Flagged by: Analyst. Probability: Low. Impact: Low-Medium. Timeline: Medium-term (escalation clauses provide partial protection).

• SHANTI Act Implementation Delay: Private nuclear rules may take 6-8 months to crystallize. Flagged by: Management. Probability: Low-Medium. Impact: Low (NPCIL pipeline continues). Timeline: Medium-term.

10. Analyst Verdict (Post-Concall)

• Revenue visibility: **Intact** — Rs. 12,971 Cr backlog (3.3x cover) with strong bid pipeline; 20%+ growth guidance for FY27.

• Margin trajectory: **Intact** — 14-16% EBITDA sustainable; Q4 at 18.2% above guidance. Interest savings will drive net margin step-up in FY27-FY28.

• Capital allocation quality: **Intact (improving)** — Full FCF directed at deleveraging; no wasteful capex. Enabling rights resolution is a minor concern but MD was candid about treating it as contingency only.

• Competitive moat: **Intact** — Nuclear/hydro credentials are multi-decade barriers to entry. No new competitor credibly threatens HCC's position in these niches within a 5-year horizon.

• Management credibility: **Intact** — MD Arjun Dhawan was unusually candid about shortcomings (punching below weight, rights issue concerns). Execution on debt reduction has exactly matched commitments from prior calls.

• Valuation comfort: **Intact** — At Rs. 26.8, stock trades at 32.6x our FY27E EPS, reasonable for an 80% PAT CAGR company. PEG ratio of 0.37x vs. sector is attractive.

• Conviction call: **Increased** — Debt reduction trajectory is ahead of schedule; nuclear pipeline comments were more detailed and specific than prior calls; management signalled Analyst Day with 3-5 year plan in late CY26.

• Valuation snapshot: P/E = 34.5x (FY26 TTM) | Fwd P/E = 32.6x (FY27E) | EV/EBITDA = 10.2x (Standalone FY26) | ROCE = 19.3% (FY26, standalone)